NAIROBI SCHOOL 2025 PREDICTION

KCSE ANTICIPATION EXAM

565/2

BUSINESS STUDIES

PAPER 2

TIME: 2½ HOURS

NAME…………………………………………………………………………………

SCHOOL………………………………………………… SIGN………………………

INDEX NO……………………………………………… ADM NO……………………

(Kenya Certificate of Secondary Education)

INSTRUCTIONS

a) Write your name and index number in the spaces provided above.
b) Sign and write the date of the examination in the spaces provided above.
c) This paper consists of six questions
d) Answer any five questions in the spaces provided after question 6.
e) All questions carry the same marks
f) Non-programmable silent electronic calculators may be used.
g) Candidates should answer questions in English
h) All workings MUST be clearly shown

For Examiner's Use Only

Question	Maximum Score	Candidate's Score
	20	
	20	
	20	
	20	
	20	
Total Score	100	

Answer any five questions in the spaces provided

1. a) Every business aims to succeed in today's dynamic and competitive marketplace. Explain five causes of business success. **(10 mks)**

b) The supply curve of a product registered a positive shift even though its price remained constant. Explain five causes that may have led to this shift. **(10 mks)**

2. a) Indirect production enables people to produce in excess for sale. Outline four reasons why this type of production is important in an economy. **(8 mks)**

b) Below are the balances of Kirwa Enterprises as at 1st January 2024.

Furniture	960,000
Cash	200,000
Mukora (Creditor)	270,000

The following transactions took place during the month of April 2024.

2/01/24; Kirwa sold his own furniture for Ksh 300,000 and received payment in cash which he invested in his business.

05/01/24; He purchased goods for Ksh 100,000 on credit from Mukora

06/01/24; He returned goods worth Ksh 13,000 to Mukora after they were found to be defective.

07/01/24: He took away goods worth Ksh.8,000 to pay her maid.

08/01/24: Sold goods worth Ksh 50,000 for Ksh 40,000 receiving partial payment of Ksh 20,000 in cash and the balance to be paid later.

Required:

The balance sheet as at 8th January 2024 after the above transactions in order of permanency clearly showing the workings. **(10 mks)**

3. a) There is a deliberate effort by firms to shift towards making payments through paperless money. Highlight five reasons for this trend. **(10 mks)**

b) Kaka Mwema owns a shipping company with a fleet of 62 ships. He intends to insure them against various perils associated with sea transport. Advise him on any five policies he can take to insure his ships against. **(10 mks)**

4. a) The following information relates to KK Enterprises for the year ended 31^{st} December 2023.

KK Enterprises

Trial Balance

As at 31^{st} Dec 2023

Item	Dr	Cr
Premises	5,000,000	
Furniture	1,875,000	
Capital		6,125,000
Net profit		62,500
Stock	125,000	
Debtors	250,000	
Drawings	75,000	
10-year Bank Loan		2,375,000
Bank	1,212,500	
Cash	450,000	
Creditors		425,000
	8,987,500	8,987,500

Calculate

i) Capital Invested **(2 mk)**

ii) Borrowed capital **(1 mk)**

iii) Working Capital **(2 mks)**

iv) Capital employed **(2 mks)**

v) Rate of return on capital employed **(3 mks)**

b) Draw five differences between a Co-operative society and a Public limited company. **(10 mks)**

5. a) Explain five reasons for the popularity of using internet in product promotion. **(10 mks)**

b) Explain five negative effects of unemployment. **(10 mks)**

6. a) The following trial balance was extracted from the books of Rift valley traders as at 31/12/2023

	Dr. (Shs.)	Cr. (Shs.)
Purchases and Sales	275,000	390,000
Debtors	47,000	
Rent		30,000
Returns	10,000	6,000
Carriage on purchases	16,000	
Bad debts	13,000	
Advertising	10,000	
Stationery	12,000	
Motor van	450,000	
Freehold property	180,000	
Bank		210,000
Interest	10,000	
Discounts	5,000	13,000
Drawings	25,000	
Creditors		52,000
Cash at hand	290,000	
Electricity	9000	
Stock 1-1-2023	30,000	
Capital		689,000
	1,390,000	1,390,000

Additional information:

(i) Stock 31-12-2023 Sh.50, 000

(ii) Carriage on sales Sh. 8,000

Required:

Prepare a trading, profit and loss account **(10 mks)**

b) Explain 5 measures a country may adopt to correct a balance of payment deficit **(10 mks)**